Over the next 10 years, Coca-Cola's share price went up tenfold versus the Standard & Poor's 500 index, which increased threefold. A caution flag: I am certainly not saying that IBM can go up tenfold over the next 10 years, only that Wall Street's method of using accounting ratios to determine value may capture the here and now but does a woefully poor job of calculating sustainable long-term growth. Or, put differently, more often than not, sustainable long-term growth is mispriced by the market.

Make no mistake—the greatest impact on IBM's future success will be the company's future earnings. Toni Sacconaghi, technology analyst at Sanford C. Bernstein, calls the company "fortress IBM, a company whose profit performance seems all but impervious to industry cycles." Toni has gone so far as to call IBM, the largest global supplier of information technology to corporations and governments, "boringly predictable."[53] Boringly predictable was what they said about Coca-Cola in 1989. Boringly predictable is just the kind of company Buffett likes best.

We have also learned that financial management is a very important secondary factor in determining a company's success. The legacy left by Gerstner and Palmisano will no doubt have a big influence on Ginni Rometty, IBM's new CEO. Already, IBM's Financial Model and Business Perspective (a five-year plan) includes $50 billion for future share repurchases. At IBM's current share repurchase rate, the company may be down to less than 100 million shares outstanding by 2030. Of course, no one can say for sure that IBM will maintain its current share repurchase rate. But that doesn't stop Buffett from dreaming. He told shareholders. "If repurchases ever reduce the IBM shares outstanding to 63.9 million, I will abandon my famed frugality and give Berkshire employees a paid holiday."[54]

H.J. Heinz Company

On February 14, 2013, Berkshire Hathaway and 3G Capital purchased H.J. Heinz Company for $23 billion. At $72.50 per share, the deal was a 20 percent premium to Heinz's share price the day before.

It was easy to see how Heinz fit the Berkshire Hathaway mold. One of the best-known food companies in the world, it has global recognition that